ENERGY REGULATORY COMMISSION
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Republic of the Philippines
ENERGY REGULATORY COMMISSION
Pasig City

RESOLUTION NO. 01, Series of 2023

AMENDMENT TO THE ERC RULES SUPPLEMENTING THE SWITCHING AND BILLING PROCESS AND ADOPTING A DISCONNECTION POLICY FOR THE CONTESTABLE CUSTOMERS

WHEREAS, the Energy Regulatory Commission (ERC) is mandated to promulgate rules and regulations to ensure provision of continuous supply of electricity to contestable customers;

WHEREAS, on 18 January 2006, the Commission promulgated Resolution No. 01, Series of 2006 or the Distribution Services and Open Access Rules (DSOAR), to provide rules, terms and conditions to Distribution Connection Assets and Services, Service to the Captive Market, Supplier of Last Resort (SOLR), Service to the Contestable Market, Unbundled Distribution Wheeling Service, and Guidelines for Establishing Regulated Service Rates;

WHEREAS, on 22 February 2010, the Commission promulgated Resolution No. 02, Series of 2010 titled "A Resolution Adopting the Amendments to the Distribution Services and Open Access Rules (DSOAR)," which provides, among others, rules on the disconnection and billing process by the distribution utility (DU) to the market participants, among others;

WHEREAS, on 09 January 2013 and 09 July 2013 respectively, the Department of Energy (DOE) issued Department Circular No. DC2013-01-0002 titled "Promulgating the Retail Rules for the Integration of Retail

Competition and Open Access in the Wholesale Electricity Spot Market (WESM)" (Retail Rules), and DC2013-07-0014 titled "Promulgating the Retail Market Manuals for the Implementation of Retail Competition and Open Access and Providing for Transitory Arrangements" (Retail Market Manuals) which prescribes, among others, the procedures on market transactions of participants in the retail market and the requirements for the registration in the WESM;

WHEREAS, on 24 September 2018, the ERC promulgated Resolution No. 09, Series of 2018 titled "Resolution Adopting the ERC Rules Supplementing the Switching and Billing Process and Adopting a Disconnection Policy for Contestable Customers" (Supplemental Switching Rules);

WHEREAS, Article II, Section 1(a) of the Supplemental Switching Rules prohibits a Contestable Customer from switching, or to be supplied by a new Retail Electricity Supplier (RES) or Supplier of Last Resort (SOLR) should it have an outstanding balance with its incumbent RES, or with its Network Service Provider in the case of an initial switch;

WHEREAS, the ERC, since May 2022, has been receiving consumer complaints in connection with the rate adjustments being implemented by some RES in their respective billing which are allegedly not specified under their respective Retail Supply Contracts, including threats of disconnection of electricity against contestable customers who have not paid their billings in full;

WHEREAS, on 07 November 2022, the Commission approved for posting on the ERC website the draft "Amendment to ERC Rules Supplementing the Switching and Billing Process and Adopting a Disconnection Policy for the Contestable Customers," docketed as ERC Case No. 2022-008 RM, to solicit comments from the stakeholders;

WHEREAS, on 17 November 2022, the Commission received comments on the proposed amendment to the Rules from sixteen (16) stakeholders, as follows: (1) Aboitiz Power Corporation; (2) Air Liquide, Phils.; (3) Alphatech Development Corporation; (4) California Garden Square Condominium Association, Inc.; (5) Carag, Zaballero, Llamado,

and Abierra Law Offices; (6) Corenergy, Inc.; (7) CW Marketing and Development Corporation; (8) Department of Energy; (9) Independent Electricity Market Operator of the Philippines; (10) Manila Electric Company (MERALCO); (11) Ople Law; (12) Ortega, Bacorro, Odulio, Calma, & Carbonel; (13) Retail Electricity Suppliers Association; (14) Shell Energy Philippines, Inc., (15) SMC Consolidated Power Corporation; and (16) TeaM (Phils.) Energy Corp.;

WHEREAS, the Commission considered all relevant DOE Circulars which laid down the policies on the Retail Competition and Open Access, the state policy as laid down in the EPIRA and jurisprudence, the pertinent ERC Resolutions on the matter, the comments from the stakeholders, among others;

WHEREAS, after its review and extensive deliberations on the matter, the Commission deemed it necessary to cure ERC's Supplemental Switching Rules, and align it with the Retail Rules and Retail Market Manuals issued by the DOE to ensure consistency with the established policy on the matter, thereby addressing issues and ensuring an efficient switching process under the CREM;

NOW, THEREFORE, pursuant to its mandate to promote competition as well as protect customer interest, the **ERC** hereby **RESOLVES**, as it is hereby **RESOLVED,** to **APPROVE** and **ADOPT** the proposed "Amendment to the ERC Rules Supplementing the Switching and Billing Process and Adopting a Disconnection Policy for the Contestable Customers" hereto attached as Annex "A" and made integral part of this Resolution.

This Resolution shall have retroactive application following its publication in a newspaper of general circulation or in the Official Gazette.

Let copies of this Resolution be furnished all parties concerned and the University of the Philippines Law Center - Office of the National Administrative Register (UPLC-ONAR).

Pasig City, 17 January 2023.

ERC
Office of the Chairperson and CEO
MCD-2023-02-570-0001

MONALISA C. DIMALANTA
Chairperson and CEO

ALEXIS M. LUMBATAN
Commissioner

CATHERINE P. MACEDA
Commissioner

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Commissioner

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Commissioner

clb/som

ANNEX "A"

Republic of the Philippines
ENERGY REGULATORY COMMISSION
Pasig City

AMENDMENT TO THE ERC RULES SUPPLEMENTING THE SWITCHING AND BILLING PROCESS AND ADOPTING A DISCONNECTION POLICY FOR THE CONTESTABLE CUSTOMERS

Section 1, Article II of ERC Rules Resolution No. 09, Series of 2018 titled "Resolution Adopting the ERC Rules Supplementing the Switching and Billing Process and Adopting a Disconnection Policy for Contestable Customers" is hereby amended to read as follows:

ARTICLE II

SWITCH PROCESS

Section 1. Switching of an End-User to a RES of its choice shall take effect subject to the conditions and procedures provided hereunder:

a. No Eligible End-User shall be allowed to switch to a RES, should it have an outstanding balance with its Network Service Provider, in case of an initial switch. Whether under dispute or not, the Eligible End-User shall be required to settle its outstanding balance prior to such initial switching. Eligible End-User, as used herein, refers to an end-user that has met the contestability threshold, and who has a choice to switch from the Captive Market to the Competitive Retail Electricity Market (CREM).

b. A Contestable Customer, already being serviced by a RES, shall be allowed to switch or to be supplied by a new RES or SOLR, notwithstanding the existence of an outstanding balance. Outstanding balance, shall refer to the amount due under previous unpaid bills including the amount indicated in its current bill.

   The Contestable Customer shall be responsible for ensuring that it has fully complied with its other lawful obligations with its incumbent RES. A Contestable Customer shall refer to an Eligible End-User that has entered into a Retail Supply Contract (RSC) with a supplier of its choice.

c. An Eligible End-User which is about to migrate to the CREM, shall be entitled to the refund of the security or bill deposit from its DU in accordance with Section 3.4.2, Article III of the DSOAR.

EFFECTIVITY

The foregoing amended provisions of the Rules shall have retroactive application following its publication in a newspaper of general circulation or in the Official Gazette.